

This won't be the last time they ask for this information. If you go forward with the loan, they will request an update (like more recent pay stubs and bank statements) after you go under contract and the loan underwriting process starts in earnest.

After all is said and done, the lender will provide an “official” preapproval letter, which your agent will use while making an offer on a house. This is your golden ticket to the chocolate factory, but you should know that it usually comes with a ninety-day expiration date. Don't be alarmed, however. Once you are set up with your lender, getting re-pre-approved will most likely be a straightforward process—so don't allow the ninety-day expiration date to create an artificial timeline and rush your purchase decision!

CHAPTER SUMMARY

- Finding a great lender is all about doing your homework. Start by asking around and searching online to find several different options, then inquire about their rates. Lay out all the answers in one list to compare apples to apples and determine which lender is offering the best possible deal. (It sounds like a pain, but you'll thank us later.)
- Make sure you confine any hard credit pulls to a thirty-day window. Otherwise they will count as extra dings against your credit score.
- Preapproval is not a guarantee, but it is a sign that you're serious. In order to accept your offer, a seller will want to see a preapproval letter.